

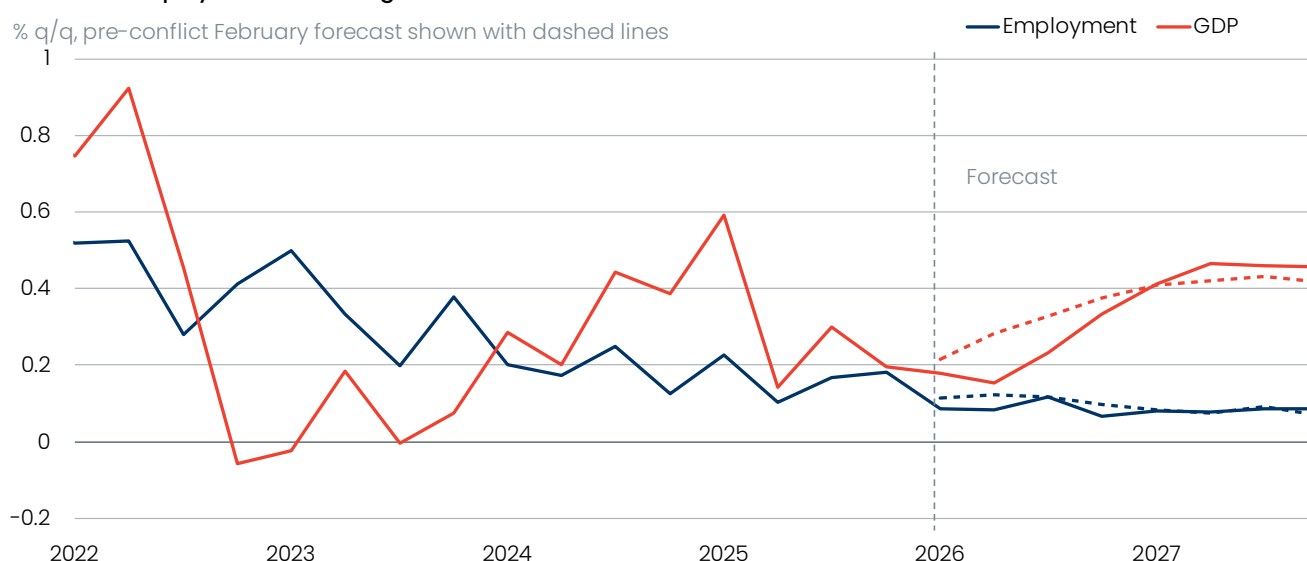
Why the labour market should withstand the new supply shock

- Though the Eurozone labour market is softer than in 2022, we think employment will prove relatively resilient in the face of the Iran supply shock. The shock's temporary nature and ongoing labour supply weakness should deter firms from large job cuts. And while weaker demand and uncertainty is likely to push already weak hiring close to a freeze, layoffs should remain limited and unemployment barely budge from its record low.
- Resilient employment will come at a cost to workers, however. As was the case during Europe's recent energy crisis, firms are likely to pass costs through to prices faster than wages adjust. The scope for inflation-related one-off payments is also constrained amid weaker demand and profitability, leaving real earnings alongside working hours as the main adjustment variables.
- As with the rest of our forecast, risks are skewed to the downside. A longer lasting shock would force a stronger employment adjustment. Pre-existing profitability weakness also lowers the bar for a shift from labour hoarding to job cuts. Sectors most exposed to weaker discretionary consumer demand appear especially vulnerable. The auto sector stands out given its pre-existing structural challenges and exposure to higher oil prices.
- Even if the shock fades relatively quickly and the Eurozone resumes its gradual recovery, we see little upside for employment. Deeply eroded profitability means firms would be likely to meet stronger demand by raising productivity and working hours rather than materially expanding headcount. The demographic shifts under way are also a rising structural headwind.

Chart 1: Employment forecast revisions have been far smaller than GDP revisions

Eurozone: Employment and GDP growth

% q/q, pre-conflict February forecast shown with dashed lines



Sources: Oxford Economics, Haver Analytics

The Iran conflict is hitting a weaker labour market, but major workforce adjustments look unlikely

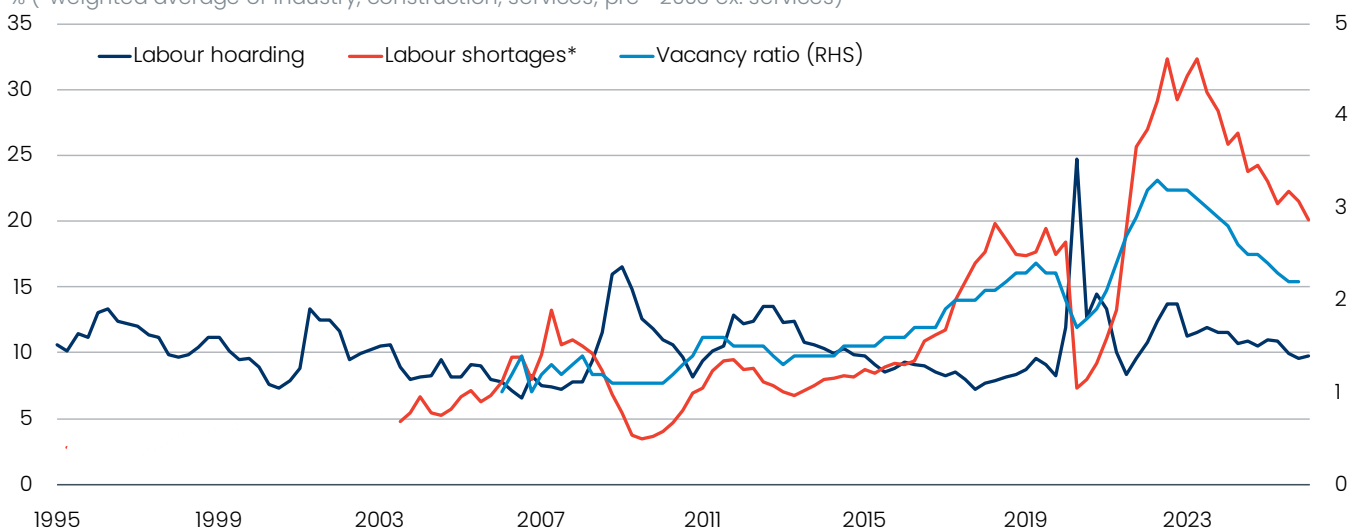
The economic shock from the Middle East conflict, often compared with the Eurozone's 2022-2023 energy crisis, is hitting a very different labour market than in 2022, in addition to being [smaller in scale](#). Although the unemployment rate was at a record low of 6.3% at the beginning of 2026, a range of indicators points to a considerably softer Eurozone labour market than after the period of disruption that followed the pandemic.

Labour shortages and vacancies are down markedly from their peaks and are now broadly back to their pre-pandemic levels ([Chart 2](#)). Labour hoarding by businesses is also much less pronounced than in 2022. As a result, employees appear more vulnerable to a slowdown in activity than they were in 2022, with the balance of power having shifted in favour of firms.

Chart 2: The labour market is considerably looser than in 2022

Eurozone: Structural labour market indicators

% (*weighted average of industry, construction, services; pre -2003 ex. services)



Source: Oxford Economics/Haver Analytics

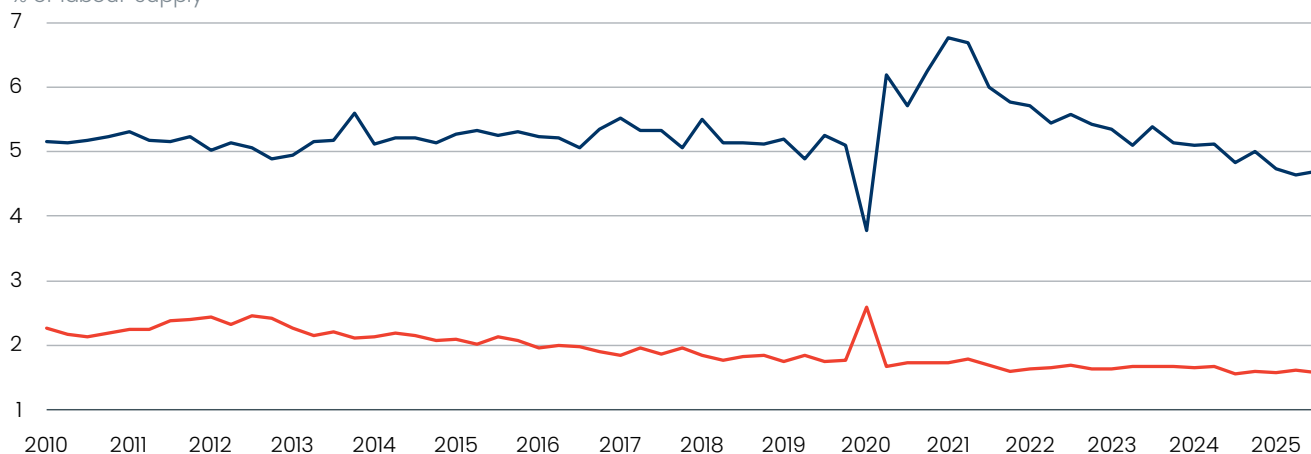
That said, we don't think the rise in energy prices triggered by the Iran conflict will translate into meaningfully weaker job growth in the Eurozone. Given the temporary nature of the shock in our forecast and the rigid nature of the Eurozone's labour market, firms are unlikely to rush into hard-to-reverse layoff decisions. Job protection schemes introduced during the pandemic are still widely used in countries such as Germany, which should also help limit job cuts.

In practice, this means firms are likely to adjust first by cutting vacancies and slowing recruitment rather than by reducing existing headcount. Our forecast reflects this, with GDP set to take a much larger hit than employment ([Chart 1](#)), though this hinges critically on the shock remaining limited in time (see below). The latest surveys are consistent with that view, as the demand component declined more forcefully than employment across all sectors.

Chart 3: Hiring was already at a record low before the outbreak of the Iran conflict

Eurozone: Labour market flows

% of labour supply**



*The hiring rate is measured as flows from unemployment to employment (thus excluding job -to-job mobility).

**No data are available for Germany before 2021. Earlier values are backcast using Eurozone growth excluding Germany.

Sources: Oxford Economics, Haver Analytics

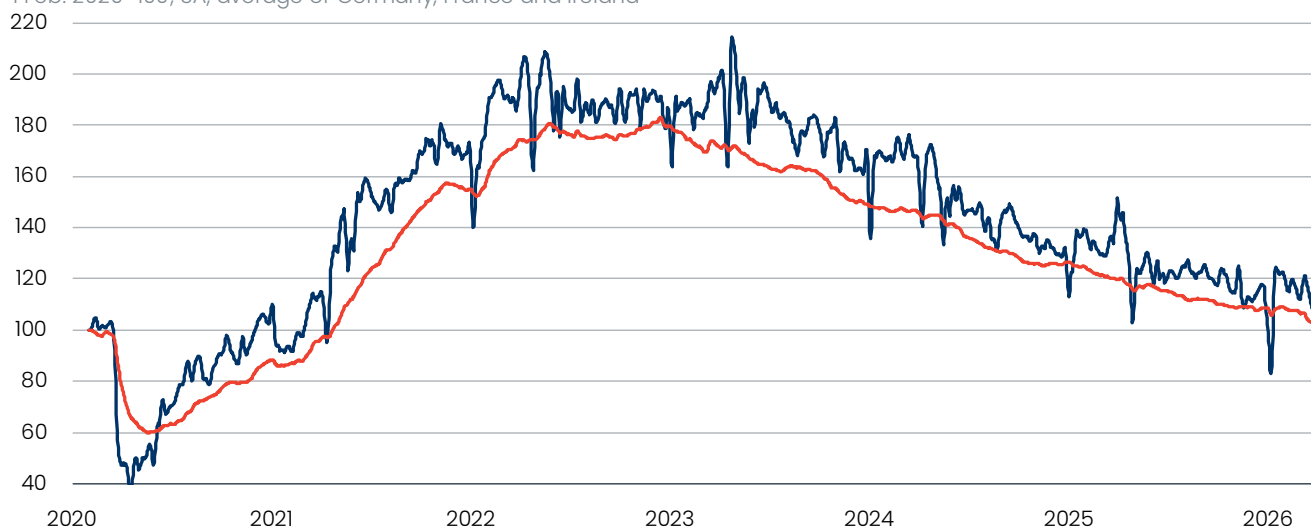
Rather than an outright decline in total employment, we expect new hiring to slow to a near-freeze, exacerbating existing labour market trends. The latest data suggest the labour market was in a 'low-hire, low-fire' state at the end of 2025, with transition rates both into and out of unemployment at their lowest level on record ([Chart 3](#)).

Weaker demand and higher uncertainty in the wake of the Iran shock should somewhat worsen the already feeble hiring rate, with hiring slowing to a trickle and total employment growing at its weakest pace since 2013. High-frequency data provide cautious support for this view: the decline in Indeed job postings has accelerated since the start of the conflict, but postings have not fallen off a cliff, consistent with a slower pace of hiring ([Chart 4](#)).

Chart 4: Job postings are consistent with a moderate employment impact

Eurozone: Indeed Job Postings

1 Feb. 2020=100, SA, average of Germany, France and Ireland



Sources: Oxford Economics, Haver Analytics

In total, we forecast employment to grow by less than 0.1% q/q on average in each quarter of 2026, the slowest pace since 2013. Even then, the unemployment rate should barely budge and average 6.2% in 2026, highlighting how the pace of job creation needed to stabilise the unemployment rate has fallen in recent years as labour supply growth has weakened due to demographic change. We will return to this point in upcoming research.

Downward revisions to our employment forecast have been modest and fairly uniform across countries, with Italy and France seeing marginally higher impacts. Italy is more exposed to the Iran conflict because of its reliance on gas, while France's labour market was already in the middle of a mild downturn and is thus more fragile.

As in 2022, working hours and lower real wages will likely be the main adjustment variables

Resilient employment does not mean that firms will bear the majority of the cost from the Iran conflict, especially given that their profit margins are already historically low ([Chart 8](#)). Instead, we expect firms to resort to a more aggressive version of the 2022-2023 playbook to contain their wage bill in the face of weakening activity without resorting to mass layoffs. Lower working hours will be the first adjustment variable.

Hours worked have staged a timid rebound from their trough over the previous quarters, providing some cushion to adjust to lower activity ([Chart 5](#)).

Chart 5: Hours worked have staged a slow recovery

Eurozone: Hours worked per person

Index, 2019 Q4=100



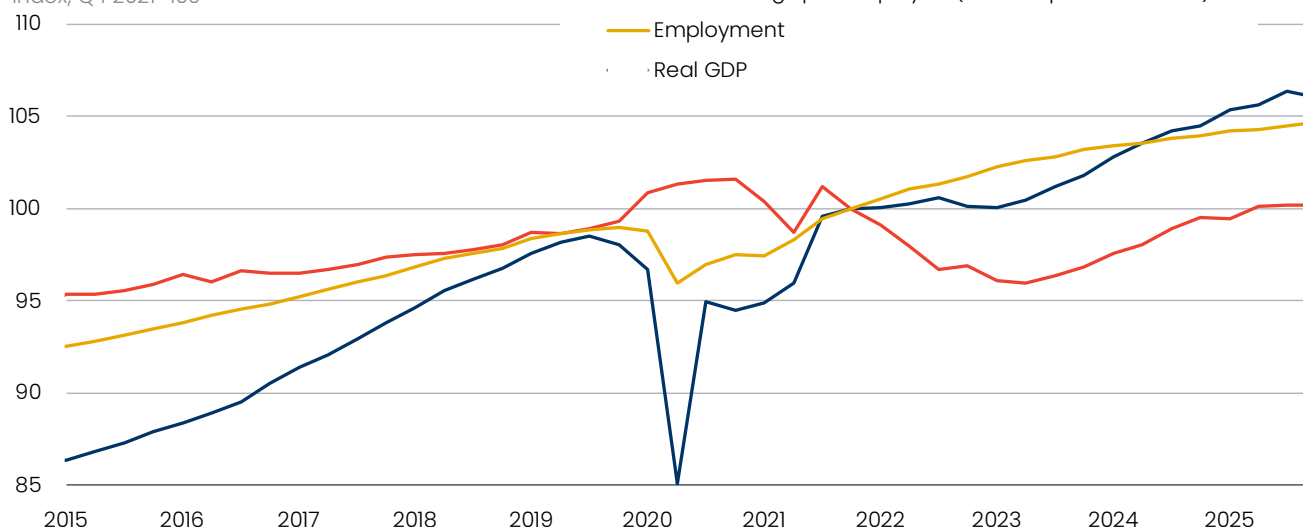
Sources: Oxford Economics, Haver Analytics

Beyond working time, we also expect real wages to bear most of the adjustment. [Recent research](#) has highlighted that lower real wages were a key part of labour market resilience from 2022 onwards, as falling real wages partially offset the impact of strong employment on companies' bottom line. As such, businesses' wage bill moved broadly in line with economic activity in real terms, even as real wages fell ([Chart 6](#)).

We think a similar adjustment is likely to unfold in the wake of the Iran supply shock, with firms raising selling prices much faster than wages, consistent with output price expectations already rebounding in March.

Chart 6: Resilient employment was offset by a deep fall in real wages in 2022**Eurozone: Labour costs**

Index, Q4 2021=100



Sources: Oxford Economics, Haver Analytics

Although household real income would weaken whether the adjustment occurred through wages or employment, the implications for household confidence and consumption would be quite different. For a given real-income hit, layoffs would likely damage confidence more than wages lagging inflation, because they create greater job uncertainty. As such, the mainly wage-based adjustment we expect should somewhat soften the drag on household spending, compared with a full-blown labour market downturn.

A delayed and partial wage adjustment should also help contain second-round inflation effects, easing some of the ECB's concerns. Although inflation expectations [are likely to be more responsive](#) than in the previous inflation shock, a looser labour market should work in the opposite direction by limiting workers' bargaining power.

Labour market risks are to the downside – a longer shock would likely force a drop in employment

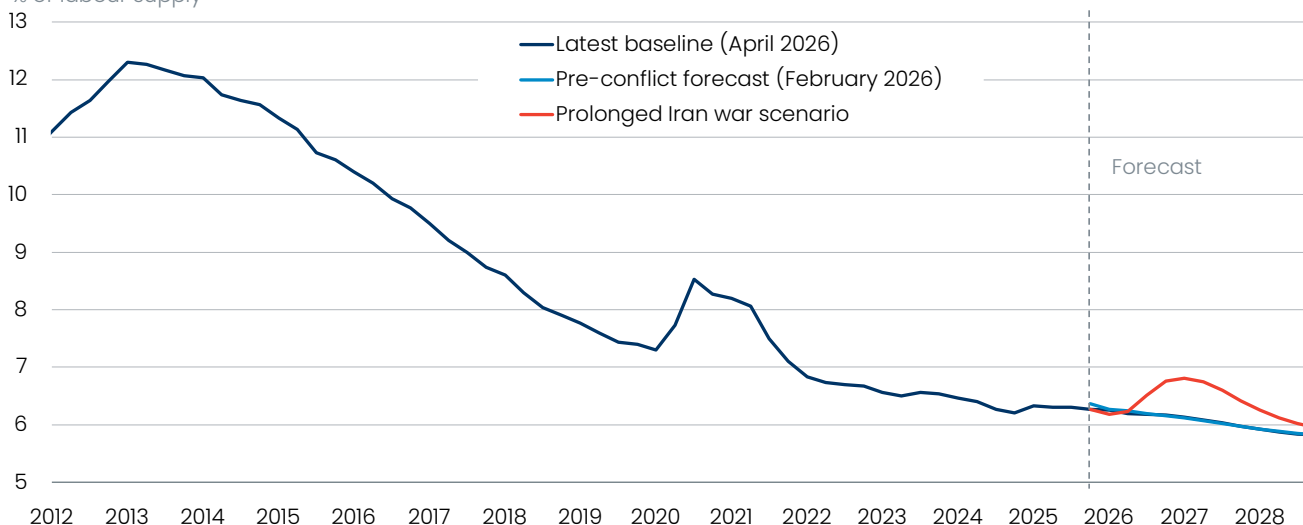
Risks to the resilient employment outlook are skewed to the downside. As with most other areas of our forecast, the limited employment impact we anticipate is conditional on the Iran supply shock remaining highly temporary, with traffic through the Strait of Hormuz starting to resume in May and oil prices falling markedly in Q3. If the disruption lasts longer, the employment impact would rise sharply, as firms would be forced to resort to layoffs rather than keep absorbing the shock through the channels highlighted above.

As an illustration, our extreme downside scenario – in which the strait remains blocked for six months – leads to a contraction in employment, though it remains moderate, with unemployment peaking just below 7% ([Chart 7](#)).

Chart 7: Unemployment would increase visibly in a prolonged war scenario

Eurozone: Unemployment rate

% of labour supply



Sources: Oxford Economics, Haver Analytics

Jobs in sectors most directly exposed to weaker consumer demand appear especially vulnerable, as shown by the sharp fall in retail trade hiring intentions, particularly in discretionary segments, which may lead to stronger job losses than we expect. This is in line with a point we have emphasised [in recent research](#): consumer spending is likely to be the main transmission channel of the Iran supply shock, with discretionary spending being most at risk. These sectors also tend to have relatively high shares of temporary workers, making workforce adjustment more likely – especially in restaurants, accommodation and culture, and to a lesser extent in retail.

The automotive sector appears particularly vulnerable in multiple respects. First, demand for high-ticket durable goods, of which motor vehicles are a prime example, is set to be hit particularly hard by the Iran supply shock fallout, while consumer credit rates often used to finance car purchases are also rising. Second, with most of the inflationary impact concentrated in fuel, car purchases are likely to come under additional pressure, though part of it may be offset by stronger demand for EVs. Third, a key difference with other consumer-oriented sectors is that the automotive industry was already facing acute structural challenges due to intensified Chinese competition and had likely started to shed jobs even ahead of the latest shock, with hiring intentions in increasingly negative territory, despite a surprising rebound in March that we doubt will be sustained.

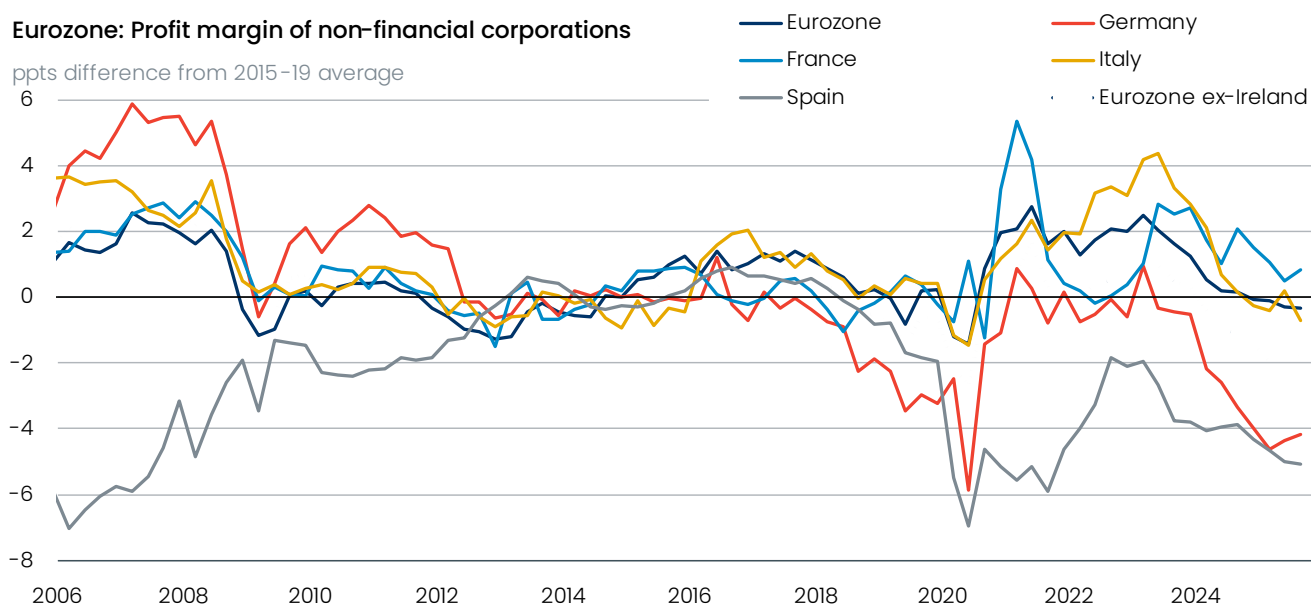
Beyond sectors directly exposed to the consumer, higher energy prices will add to the pressure on energy-intensive industries that were already struggling to restore profitability, which may accelerate ongoing job shedding-trends. The picture is not uniform, however, as a number of these sectors will also benefit from supply disruption in the Middle East and, more tentatively, from future government efforts to strengthen domestic production in the face of increasingly unstable global supply chains. This includes refineries, petrochemicals, and aluminium. Meanwhile, other energy-intensive sectors such as glass, cement, and paper, will see no such tailwind and may therefore see sharper job losses, with hiring expectations in the minerals subsector dropping sharply in March.

Even in a rapid recovery, we do not expect a major employment rebound

Beyond the vulnerabilities highlighted above, the other factor skewing risks to the downside is that, even in the event of a highly temporary shock and a quick economic rebound, we see little prospect of a major employment upturn. Our pre-conflict forecast already implied a largely jobless recovery in the Eurozone, with GDP growth up to

four times higher than employment growth. This remains our baseline in 2027 after most of the Iran supply shock fallout has dissipated.

Chart 8: Profit margins have deteriorated sharply



Source: Oxford Economics/Haver Analytics

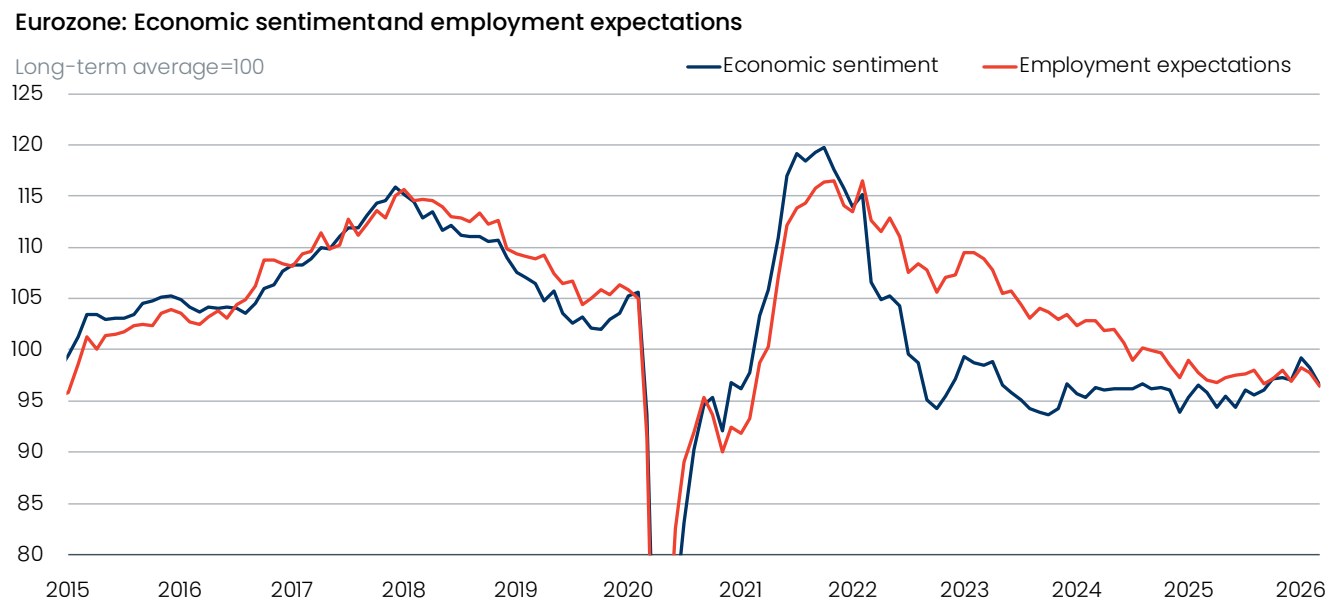
This mostly stems from the fact that profit margins have deteriorated substantially, with the profit share of non-financial corporations at its lowest level on record, excluding the pandemic ([Chart 8](#)). Some rebalancing now looks unavoidable, implying that employment is likely to lag output for a while. Indeed, for the first time since the end of the pandemic, surveys suggest that hiring intentions are weaker than economic activity, as the gradual upturn in activity before the Middle East conflict did not translate into better employment prospects ([Chart 9](#)).

In other words, after a period in which employment has outperformed weak output, firms are likely to seek some productivity catch-up before materially expanding headcount again.

Firms have scope to raise output without expanding headcount commensurately. First, hours worked per employee remain substantially below their pre-pandemic level across most sectors of the economy, providing some buffer to respond to a potential acceleration in demand. Second, though the productivity benefits of AI are [not yet clear in economic data](#), firms are likely to try to harness the technology to limit additional hiring even when demand picks up – a simpler endeavour than replacing existing workers outright.

In addition, the sectors most clearly driving growth in the Eurozone, such as defence and aerospace, are not sectors in which stronger demand can quickly translate into faster hiring. They are highly capacity-constrained, reliant on specialised labour, and subject to long production cycles and supply-chain bottlenecks. As a result, stronger demand is more likely to show up first in higher order backlogs, longer hours, and better productivity rather than in a rapid increase in headcount.

Chart 9: The recent upturn in activity did not translate into better employment prospects



Sources: Oxford Economics, Haver Analytics